

**Time:** 5 minutes**Outcome:** Trace government purchases and taxes into aggregate demand.**Difficulty:** ●●○ Intermediate

Fiscal Policy and Aggregate Demand



THE CORE IDEA

Fiscal policy changes aggregate demand (AD) through government purchases, taxes, and consumption. Higher purchases directly raise spending; a tax cut raises disposable income and can increase consumption. Induced spending rounds magnify the initial effect, while crowding out can offset part of it.



HOW TO RECOGNIZE IT

- Higher purchases or lower taxes shift AD right; opposite policies shift it left.
- Taxes affect consumption through disposable income.
- A fiscal action shifts AD; a price-level change moves along it.

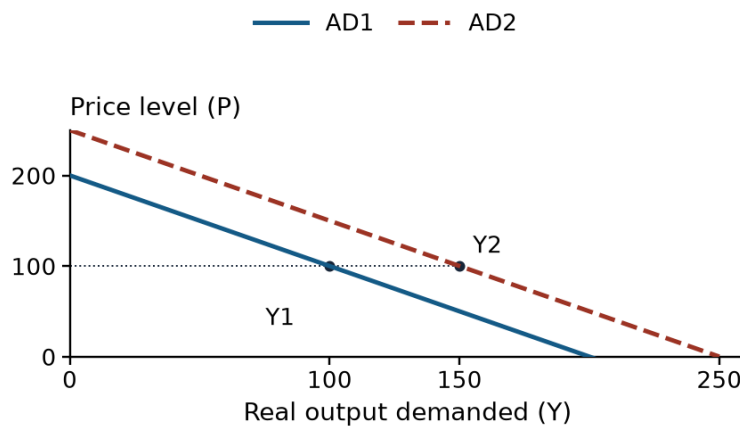


WATCH OUT

A common mistake is to classify fiscal policy from the economy's condition rather than the government's action. Higher purchases or lower taxes are expansionary; lower purchases or higher taxes are contractionary.



WORKED EXAMPLE: SHIFTING AGGREGATE DEMAND



At the displayed price level 100, higher government purchases shift aggregate demand from AD1 to AD2. Real output demanded rises from $Y1 = 100$ to $Y2 = 150$. A tax cut can also shift demand right through disposable income and consumption. These are quantities demanded at a fixed price level; equilibrium output also depends on supply.



CHECK YOURSELF

Why can a tax cut shift aggregate demand to the right in the short run?

**READY?**

Return to the game and master this concept.